Sl. No. 3

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI SPECIAL BENCH
(Virtual Hearing)
PRESENT: SHRI RAJEEV BHARDWAJ – MEMBER (JUDICIAL)
: SHRI SANJAY PURI – MEMBER (TECHNICAL)
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 10.01.2024 AT 10:15 A.M.

TC/CP. Nos.	CA/IA No.	Section / Rule	Name of Parties
CA(CAA)/7/230/AMR/2023		230	M/s Devi Aquatech Private Limited (Transferor Co-1) M/s Satya Sea Foods Private Limited (Transferor Co-2) M/s DSF Aquatech Private Limited (Transferor Co.-3) M/s Devi Fisheries Private Limited (Transferee Co)

ORDER

Mr.S.S.Sarat Chandra, Ld. Counsel for the Applicant companies present. Orders pronounced. CA(CAA)/7/230/AMR/2023 is allowed, vide separate sheets.

Sd/-
SANJAY PURI
MEMBER (TECHNICAL)

Sd/-
RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,
AMARAVATI SPECIAL BENCH

CA (CAA)/7/230/AMR/2023

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation Between M/s. Devi Aquatech Private Limited (1st Transferor Company), M/s Satya Seafoods Private Limited (2nd Transferor Company), M/s DSF Aquatech Private Limited (3rd Transferor Company) and M/s. M/s Devi Fisheries Limited (Transferee Company) and their Respective Shareholders.

1. M/s Devi Aquatech Private Limited
(CIN: U15122AP2014PTC093615)
D.no.6-21-7, east point colony,
Visakhapatnam, Andhra Pradesh 530017
...1st Applicant /1st Transferor Company

2. M/s Satya Sea Foods Private Limited
(CIN: U05005AP1985PTC006027)
D.No.12-2-15/1,Main Road,
Samarlakota Andhra Pradesh 533440.
...2nd Applicant /2nd Transferor Company

3. M/s DSF Aquatech Private Limited
(CIN: U05005AP1993PTC016314)
D.No.6-21-7 East Point Colony,
Visakhapatnam -530017 Andhra Pradesh
...3rd Applicant /3rd Transferor Company

4. M/s Devi Fisheries Limited
(CIN: U05005AP1997PLC027100)
D.No.6-21-7 East Point Colony,
Visakhapatnam -530017 Andhra Pradesh India.
...4th Applicant /Transferee Company

Date of Order Pronounced on: 10.01.2024

Coram:

SHRI RAJEEV BHARDWAJ, MEMBER (JUDICIAL)
SHRI SANJAY PURI, MEMBER (TECHNICAL)

For the Applicant : Mr.S.S.Sarat Chandra, Advocate

ORDER
(Per: Bench)

1. The present Application is filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant companies inter alia seeking an order to dispense with the holding of the meeting of the Shareholders, Secured creditors and unsecured creditors of all the Transferor and Transferee Companies, in view of the consents given by them, for sanction of the proposed scheme of Amalgamation and considering the sound financials and solvency of the merged entity as also for the facts and circumstances as sated and also to dispense with the publication of notice in newspapers, since there is no public interest involved.

2. The Registered Offices of the Applicant Companies are situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

a) M/s Devi Aquatech Private Limited, 1st Applicant/ 1st Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 19.03.2014 and the Authorized share capital of the 1st Transferor Company is Rs.64,00,00,000/- divided into 6,40,00,000 Equity shares of Rs. 10/- each and the issued, subscribed and paid-up capital is Rs. 63,06,54,000/- divided into 6,30,65,400 fully paid-up equity shares of Rs.10/- each. The preference share capital is Rs.25,00,00,000/- divided into authorised share capital 25,00,000 preference shares of Rs.100/- each. The main objects of the Company are to carry on the business of Processing, export, manufacturing, sell, deal, barter, whether as wholesalers or retailers or as exporters or importers or as principals or agents or brokers or otherwise or to catch Aqua and procure sea foods and preserve, smoke, Cure, freeze, prepare or process Prawn, Shrimp, fish and sea foods and to manufacture or procure any substances or articles wholly or partially from fish or sea foods for human or animal consumption. In addition to the above, to carry on the business of keepers, warehousemen and transporters of Prawn, Shrimp, fish, sea foods, processed fish and sea foods, vegetables, fruits, meats, eggs, poultry and foods of every description and to further purchase, sell, lease, exchange, hire or otherwise acquire, deal, operate, equip and use trawlers, vessels, plants, apparatus, equipment and articles for catching procuring, processing,

packing, bottling, caning and extracting fish, fish products, sea foods of all kinds.

b) M/s Satya Sea Foods Private Limited, 2nd Applicant/2nd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 13.12.1985 and the the Authorized share capital of the 2nd Transferor Company is Rs.12,50,00,000/- divided into 12,50,000 Equity shares of Rs.100/- each. The issued, subscribed and paid-up capital is Rs.2,00,00,000/- dived into 2,00,000 fully paid-up equity shares of Rs.100/- each. The main objects of the company are to carry on the business of acquiring, take on charter Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns, frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products. Further to establish and set

up modern cold storage and deep freezing plant and take the sane on hire, for processing and preserving all kinds of foods stuffs, drugs, fruits, vegetables, fish, meat and all other eatables and to give the same on hire and to carry on inland and deep sea fishing, fish culture, forming pearl culture, deep sea mining, drilling, seasmic surveys, oceanographic research and exploration.

c) M/s DSF Aquatech Private Limited, 3rd Applicant/ 3rd Transferor Company was incorporated as a private limited company under the Provisions of the erstwhile Companies Act, 1956 on 16.09.1993 and the the Authorized share capital of the 3rd Transferor Company is Rs.40,00,000/- divided into 4,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.23,30,000/- dived into 2,33,000 fully paid-up equity shares of Rs.10/- each. The main objects of the company are to carry on the business of establishment, development, to own, maintain and run shrimp hatcheries to produce, breed, rear, sell, import, export, deal and trade in all kinds of prawn, shell fish , fin fish, tuna fish and other sea water foods and to promote, establish, improve, develop, administer, own and run aquaculture farms, ponds for culturing all types of prawn, shrimp, fish and other crustaceans and to carry on the business of exporters, processors, dealers and traders in all kinds of seafoods like prawns, shrimps, lobster fish and for this purpose to establish and set up a modern cold storage and deep freezing plant.

d) M/s Devi Fisheries Limited, 4th Applicant/ Transferee Company was incorporated as a unlisted public limited company under the Provisions of the erstwhile Companies Act, 1956 on 14.05.1997 and the Authorized share capital of the Transferee Company is Rs.4,50,00,000/- divided into 45,00,000 Equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.3,86,40,000/- dived into 38,64,000 fully paid-up equity shares of Rs.10/- each. The main objects of the company are to carry on the business of exporters, processors, dealers in all kind of sea foods lime prawns, shrimps, lobsters, pomfr sharks and eels and to further acque, take on charter Mechanized Fishing Trawlers of any length, foreign or indigenous or from any other source or any other types of fishing boats foreign or indigenous from 'within or outside India, to catch prawn, fish and other sea foods by operation of mechanized trawlers, boats, country boats or any other craft suitable for catching any variety of fish, prawn or sea foods and to purchase, sell in home markets or to export to foreign countries with or without processing. In addition to the above, to carry on the business in Harvesting of Sea Foods, River Foods and to catch or arrange for the catch of all types of fish, prawns, frogs, crabs, shrimps, lobsters and other crustacea including all other sea foods or water foods, to freeze and preserve in cold storage, to export and to appoint agents to purchase, sell sea foods, river foods and other allied products for the purpose of carrying on business in the Company's products, and to carry on inland and deep sea fishing, Aqua culture,

forming pearl culture, deep sea mining, drilling, seismic, surveys, oceanographic research and exploration.

e) According to the Applicant Companies, the transferee and Transferor companies are closely held nature of the companies. The Transferee Company is unlisted public company and all the Transferor companies are wholly-owned subsidiary companies of the Transferee Company with their entire shareholding held by the Transferee Company without there being any public interest involved. Because of existing integration and similarity of the business of the Transferee and Transferor Companies, as well as the administrative, management and accounting difficulties in carrying on the business by the management and accounting of all the entities and the time constraints of the management on account of multiplicity of works and compliances, the management of the companies is unable to fully focus on the business and achieve optimum business and the merger is therefore for consideration of the business and the companies and the amalgamation of three Transferor Companies with the Transferee Company would inter alia help in consolidation of the businesses of the companies and would be beneficial to all the companies and the management of the companies will be in a better position to focus their attention and energies and achieve good and improved results. That the proposed amalgamation would be in the interest of not only the shareholders of the companies, but also the creditors, customers and employees generally and that consolidation of the businesses of both the

companies would result in a financially and operationally sound entity with better net-worth and valuation, which in turn, would attract investment by investors and further funding by the bankers for expansion.

4. The Board of Directors of the Applicant/Transferor Company and Transferee Company in their respective Board Meetings held on 25.08.2023 have approved the Scheme of Amalgamation with appointed date as 01.09.2023.

5. It is stated that no investigation or proceedings have been instituted or are pending in relation to the Applicant Companies.

6. The Applicant companies has filed their Independent Auditor certificate dated 25.09.2023 confirming that the proposed accounting treatment in the books of the companies as specified in Clause 12 Accounting Treatment is in compliance with the accounting standards.

7. The 1st Applicant/1st Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Two (2) Equity shareholders, together holding 6,30,65,400 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

8. The 1st Applicant /1st Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Two (2) Secured Creditors together sanctioned loan of Rs.8,98,86,763/- to the Company and they have

given their consent on the form of affidavits, agreeing to the proposed scheme.

9. The 1st Applicant /1st Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are zero (0) Unsecured Creditors.

10. The 2nd Applicant/2nd Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Two (2) Equity shareholders, together holding 2,00,000 equity shares of Rs.100/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

11. The 2nd Applicant /2nd Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Zero (0) Secured Creditors and zero (0) Unsecured Creditors.

12. The 3rd Applicant/3rd Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Two (2) Equity shareholders, together holding 2,33,000 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

13. The 3rd Applicant/3rd Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there is One (1) Unsecured Creditor, provided loan of Rs.63,29,827/- and he has given their consent on the form of affidavits agreeing to the proposed scheme.

14. The 3rd Applicant/3rd Transferor company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Zero (0) Secured Creditors.

15. The 4th Applicant/Transferee company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Sixteen (16) Equity shareholders holding 36,89,480 equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

16. The 4th Applicant/Transferee company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Seven (07) Unsecured Creditors to an extent of amount of Rs.19,41,27,320/- equity shares of Rs.10/- each and they have given their consent on the form of affidavits, agreeing to the proposed scheme.

17. The 4th Applicant/Transferee Company has filed certificate dated 25.09.2023 issued by the Independent Auditor of the Company stating that as on 31.08.2023 there are Three (03) Secured Creditors to an

extent of loan amount of Rs.256,95,49,355/- and have given their consent in the form of affidavit agreeing to the proposed Scheme.

18. Heard the submissions made in this regard by Mr. S.S. Sarat Chandra, Advocate appearing for the Applicant Companies and perused the documents filed.

19. It is noted that all the shareholders of the Applicant Companies have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Shareholders of all the Applicant Companies can be dispensed with, in terms of Section 230(9) of the Act.

20. It is noted that all the Secured Creditors of the 1st Applicant/1st Transferor Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Secured Creditors of the 1st Applicant/1st Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

21. It is noted that there are no Unsecured Creditors in the 1st Applicant/1st Transferor Company, hence, the meeting of the Unsecured Creditors of the 1st Applicant/1st Transferor company can be dispensed with, in terms of Section 230(9) of the Act.

22. It is noted that there are no Secured and Unsecured Creditors in the 2nd Applicant/2nd Transferor Company, hence, the meeting of the Secured & Unsecured Creditors of the 2nd Applicant/2nd Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

23. It is noted that Unsecured Creditor of the 3rd Applicant/3rd Transferor Company has given their consent affidavit agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Unsecured Creditor of the 3rd Applicant/3rd Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

24. It is noted that there are no Secured Creditors in the 3rd Applicant/3rd Transferor Company, hence, the meeting of the Secured & Unsecured Creditors of the 3rd Applicant/3rd Transferor Company can be dispensed with, in terms of Section 230(9) of the Act.

25. It is noted that all the Secured Creditors and Unsecured Creditors of the 4th Applicant/Transferee Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Secured Creditors of the 4th Applicant/Transferee Company can be dispensed with, in terms of Section 230(9) of the Act.

26. It is noted that there is no public interest involved in the Applicant Companies, hence, the publication of notice in newspapers can be dispensed with.

27. In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, the Applicant Companies shall send notice under section (3) of Section 230 read with Rule 6 of the Rules with a copy of the Scheme, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern Region; (b) the Registrar

of Companies, Andhra Pradesh' (c) the Income Tax Authorities; and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within period of 30(thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

28. In the event of the Applicant companies approaching this Tribunal seeking approval of the Scheme, it would be open for any person who is interested in the scheme to put forth his/their contention(s) before the Tribunal.

ORDER

The Company Application i.e., CA(CAA)/7/230/AMR/2023 is allowed and disposed of accordingly.

Sd/-

SANJAY PURI
MEMBER (TECHNICAL)

Sd/-

RAJEEV BHARDWAJ
MEMBER (JUDICIAL)

Swamy Naidu (PS)